

NMLS SAFE MLO EXAM PREPARATION

Practice Exam 6 of 7

Scheduled for: Tuesday, April 22, 2026

Focus: Mortgage Products, Secondary Market & Loan Process

Total Questions	Time Allowed	Passing Score	Exam Date
120 Questions	4 Hours	75% (90 correct)	April 24, 2026

Topic Area	Questions	% of Exam
Federal Mortgage-Related Laws (RESPA, TILA, ECOA, HMDA, SAFE, etc.)	Q1-28	~23%
General Mortgage Knowledge (Products, LTV, DTI, ARM, FHA, VA, etc.)	Q29-56	~23%
Loan Origination Activities (1003, TRID, Underwriting, ATR/QM)	Q57-86	~25%
Ethics (UDAAP, Fraud, Steering, Fair Lending)	Q87-105	~16%
Uniform State Content (SAFE Act, NMLS, Licensing, CE)	Q106-120	~13%

EXAM INSTRUCTIONS

1. This practice exam simulates the actual NMLS SAFE MLO national exam format.
2. Read each question carefully and select the BEST answer from the four choices.
3. Do not spend too much time on any single question — aim for about 2 minutes per question.
4. Answer all questions. There is no penalty for guessing.
5. The answer key with full explanations begins after Question 120.

6. Record your answers on a separate sheet for self-scoring.

Time Management Guide: 120 questions in 4 hours = 2 minutes per question

Suggested checkpoints: Q30 at 1 hr | Q60 at 2 hrs | Q90 at 3 hrs | Q120 at 4 hrs

Section 1: Federal Mortgage-Related Laws

1. Under TILA, the Annual Percentage Rate (APR) must be disclosed no later than:

- A. At the time of application
- B. Three business days before consummation
- C. At closing
- D. Within three business days of application

2. Which of the following triggers the right of rescission under TILA?

- A. A purchase money mortgage on a principal dwelling
- B. A refinance of a principal dwelling with a different lender
- C. A home equity loan on a vacation home
- D. A purchase loan on an investment property

3. Under RESPA, a 'controlled business arrangement' (CBA) is now referred to as an:

- A. Affiliated business arrangement (AfBA)
- B. Associated service entity (ASE)
- C. Joint venture arrangement (JVA)
- D. Captive reinsurance arrangement (CRA)

4. The HMDA LAR (Loan Application Register) must be submitted to the appropriate federal agency by:

- A. January 1 of the following year
- B. March 1 of the following year
- C. March 31 of the following year
- D. June 30 of the following year

5. Which of the following is NOT a trigger for providing a new Loan Estimate under TRID?

- A. Borrower requests a rate lock
- B. New construction loan with delayed settlement
- C. Borrower changes the loan product from fixed to ARM
- D. Borrower decides to add a co-borrower

6. Under ECOA, a lender must notify an applicant of its credit decision within:

- A. 10 business days
- B. 30 calendar days
- C. 30 business days
- D. 45 calendar days

7. The Homeowners Protection Act (HPA) requires automatic cancellation of PMI when LTV reaches:

- A. 80% based on original value
- B. 78% based on original value through scheduled payments
- C. 78% based on current appraised value
- D. 80% based on current appraised value

8. Under the Fair Housing Act, which of the following is a protected class at the FEDERAL level?

- A. Sexual orientation
- B. Source of income
- C. Marital status
- D. Familial status

9. The Bank Secrecy Act requires financial institutions to file a Currency Transaction Report (CTR) for cash transactions exceeding:

- A. \$5,000
- B. \$7,500
- C. \$10,000
- D. \$25,000

10. Under Dodd-Frank, which entity was given authority to supervise non-bank mortgage lenders and servicers?

- A. Federal Reserve
- B. OCC
- C. CFPB
- D. HUD

11. HOEPA loans (high-cost loans) are subject to which of the following restrictions?

- A. Required title insurance
- B. Prohibition on balloon payments in most cases
- C. Maximum loan-to-value of 80%
- D. Mandatory 30-year amortization

12. Under the SAFE Act, an MLO license is NOT required for which of the following?

- A. A person who takes a complete loan application
- B. A person who offers or negotiates loan terms
- C. A bank employee who originates loans on behalf of the bank
- D. A person who arranges a residential mortgage loan

13. Under FCRA, a consumer may dispute inaccurate information on their credit report. The credit reporting agency must investigate and respond within:

- A. 15 days
- B. 30 days
- C. 45 days
- D. 60 days

14. The Mortgage Disclosure Improvement Act (MDIA) required early disclosures to be delivered no later than:

- A. 3 business days after application
- B. 3 business days before consummation
- C. Both A and B
- D. 7 business days before consummation

15. Under RESPA's Section 6, a servicer must acknowledge a 'qualified written request' (QWR) from a borrower within:

- A. 5 business days
- B. 7 business days
- C. 20 business days
- D. 30 business days

16. Which federal law prohibits lenders from discriminating in the terms and conditions of credit based on race, color, religion, national origin, sex, marital status, or age?

- A. Fair Housing Act
- B. Equal Credit Opportunity Act (ECOA)
- C. Community Reinvestment Act (CRA)
- D. Home Mortgage Disclosure Act (HMDA)

17. The CFPB's UDAAP authority covers which types of practices?

- A. Unfair, discriminatory, and abusive practices
- B. Unfair, deceptive, or abusive acts or practices
- C. Unlawful, deceptive, and aggressive practices
- D. Unjust, disparate, and arbitrary practices

18. Under TRID, the Closing Disclosure must be received by the borrower at least how many business days before consummation?

- A. 1 business day
- B. 3 business days
- C. 5 business days
- D. 7 business days

19. A loan is considered a 'higher-priced mortgage loan' (HPML) under Regulation Z when its APR exceeds the APOR by more than:

- A. 1.5 percentage points for a first-lien loan
- B. 1.5 percentage points for a subordinate-lien loan
- C. 3.5 percentage points for a first-lien jumbo loan
- D. 2.5 percentage points for all loans

20. The Truth in Lending Act requires creditors to disclose the 'amount financed,' which is defined as:

- A. The loan principal
- B. The loan principal plus interest
- C. The loan amount less prepaid finance charges
- D. The total of all payments

21. Under the S.A.F.E. Act, how many hours of pre-licensure education are required for state-licensed MLOs?

- A. 8 hours
- B. 15 hours
- C. 20 hours
- D. 24 hours

22. Under Dodd-Frank's Ability-to-Repay rule, which of the following is NOT one of the eight underwriting factors a lender must consider?

- A. Current or reasonably expected income
- B. Simultaneous loans
- C. Credit score
- D. Monthly payments on the covered transaction

23. RESPA requires the lender to provide the Special Information Booklet (HUD Guide to Settlement Services) to the borrower:

- A. At the time of closing
- B. Within 3 business days of application
- C. At least 7 days before closing
- D. At the time of rate lock

24. A 'no-cost' loan means the borrower:

- A. Pays no closing costs or interest
- B. Pays no closing costs but accepts a higher interest rate
- C. Pays no origination fee but may pay other closing costs
- D. Pays no points but pays all other settlement charges

25. Under HMDA, which of the following loans is exempt from reporting requirements?

- A. Home purchase loans
- B. Refinance loans
- C. Open-end lines of credit
- D. Loans on purely commercial properties not used for residential purposes

26. Under the Fair Credit Reporting Act, a consumer's credit report may be accessed without consent for which purpose?

- A. Employment verification if the employer pays a fee
- B. Insurance underwriting with a firm offer of insurance
- C. Marketing purposes only
- D. Identity verification for any purpose

27. Which of the following is required on the Loan Estimate under TRID?

- A. The seller's net proceeds
- B. The exact monthly payment including all taxes and insurance
- C. A statement of whether the interest rate can increase after consummation
- D. The lender's profit margin

28. Under Regulation X (RESPA), an escrow account can collect an initial cushion of up to:

- A. One month's escrow payment
- B. Two months' escrow payments
- C. Three months' escrow payments
- D. Six months' escrow payments

Section 2: General Mortgage Knowledge

29. The Integrated Mortgage Disclosures (TRID) rule was designed to replace which two sets of disclosures?

- A. The GFE and the HUD-1 Settlement Statement
- B. The TIL and the Good Faith Estimate
- C. Both the early TIL disclosure + GFE (replaced by Loan Estimate) and the final TIL + HUD-1 (replaced by Closing Disclosure)
- D. The RESPA booklet and the TIL disclosure

30. In a 5/1 ARM, what does the '1' represent?

- A. The initial rate lasts 1 year
- B. The rate adjusts once after the fixed period
- C. The rate can adjust every 1 year after the initial fixed period
- D. The margin is 1%

31. Which of the following describes a 'conforming' loan?

- A. A loan that conforms to FHA underwriting guidelines
- B. A loan that meets Fannie Mae and Freddie Mac purchase requirements, including loan limits
- C. A loan with no private mortgage insurance requirement
- D. A loan with a fixed interest rate

32. The secondary mortgage market primarily serves to:

- A. Provide direct loans to consumers
- B. Regulate mortgage interest rates
- C. Provide liquidity to lenders by purchasing loans they originate
- D. Insure mortgages against default

33. A mortgage-backed security (MBS) is:

- A. Insurance on a mortgage pool
- B. A bond collateralized by a pool of mortgage loans
- C. A government guarantee on individual mortgages
- D. A futures contract on mortgage rates

34. Fannie Mae and Freddie Mac are known as:

- A. Federal agencies
- B. Government-Sponsored Enterprises (GSEs)
- C. State housing finance agencies
- D. Federal Reserve member banks

35. Ginnie Mae (GNMA) guarantees MBS backed by which types of loans?

- A. Conventional conforming loans only
- B. Jumbo loans only
- C. FHA, VA, and USDA loans
- D. All federally originated loans

36. Which of the following best describes 'yield spread premium' (YSP)?

- A. The difference between the par rate and market rate
- B. Compensation paid by a lender to a broker for delivering a loan at an above-par interest rate
- C. A fee paid by the borrower to lower the interest rate
- D. The lender's profit on a mortgage transaction

37. In a 'portfolio loan,' the originating lender:

- A. Sells the loan to Fannie Mae immediately after closing
- B. Keeps the loan on its own balance sheet rather than selling it
- C. Transfers servicing rights to a third party
- D. Shares the risk with multiple investors

38. The 'note rate' on a mortgage is the:

- A. APR including all fees
- B. Interest rate stated in the promissory note
- C. Rate after adjustments on an ARM
- D. Rate charged by the Federal Reserve to banks

39. Which of the following is characteristic of a 'jumbo' loan?

- A. It is backed by FHA insurance
- B. It exceeds the conforming loan limits set by FHFA
- C. It requires only 3% down payment
- D. It has a fixed rate for the life of the loan

40. The 'debt-to-income ratio' (DTI) in mortgage underwriting compares:

- A. Total debt to total assets
- B. Monthly debt payments to monthly gross income
- C. Annual debt to annual net income
- D. Mortgage payment to monthly take-home pay

41. A 'buydown' mortgage is one in which:

- A. The borrower pays extra principal each month
- B. An upfront payment reduces the interest rate for a period or the life of the loan
- C. The loan balance increases over time
- D. The interest rate is tied to a Treasury index

42. Which of the following best describes a 'stated income' loan?

- A. A loan where income is verified through pay stubs and W-2s
- B. A loan where the borrower states their income without third-party verification
- C. A loan where income is verified through bank statements only
- D. A loan requiring a minimum income of \$100,000

43. Private Mortgage Insurance (PMI) typically is required when the LTV ratio exceeds:

- A. 70%
- B. 75%
- C. 80%
- D. 90%

44. Which of the following describes 'negative amortization'?

- A. A loan where the balance decreases faster than scheduled
- B. A situation where the loan balance increases because payments don't cover accrued interest
- C. A loan with a balloon payment at maturity
- D. A loan where interest is prepaid at closing

45. A 'hard prepayment penalty' is one that:

- A. Applies only if the borrower sells the property
- B. Applies when the borrower refinances but not when the property is sold
- C. Applies regardless of whether the borrower sells or refinances
- D. Applies only if the loan is paid off within 12 months

46. The 'index' on an adjustable-rate mortgage is:

- A. A fixed rate set by the lender
- B. A publicly available benchmark rate to which the ARM rate is tied
- C. The lender's profit margin added to the rate
- D. The maximum rate the loan can reach

47. A 'balloon mortgage' is characterized by:

- A. Monthly payments that increase over time
- B. Amortizing payments with a large lump-sum payment due at maturity
- C. A rate that adjusts monthly
- D. Negative amortization

48. Which of the following loan types has NO maximum loan amount set by the program?

- A. FHA loans
- B. VA loans
- C. Conventional conforming loans
- D. USDA loans

49. A 'super conforming' (high-balance) loan is one that:

- A. Exceeds conforming limits in all markets
- B. Meets conforming guidelines but exceeds standard conforming limits in high-cost areas
- C. Is backed by FHA insurance
- D. Has extra collateral requirements

50. Which factor is generally NOT used in determining a conventional loan's interest rate?

- A. Credit score
- B. Loan-to-value ratio
- C. Property state
- D. Occupancy type (primary/investment)

51. The 'front-end ratio' in mortgage qualifying is:

- A. Total monthly debts divided by gross monthly income
- B. Monthly housing payment divided by gross monthly income
- C. Monthly housing payment divided by net monthly income
- D. Total annual housing costs divided by annual gross income

52. Which of the following is a characteristic of a USDA Rural Development loan?

- A. Requires 3.5% minimum down payment
- B. Available in all geographic areas
- C. Can finance 100% of the purchase price in eligible areas
- D. Requires the borrower to be a veteran

53. Which of the following indexes is most commonly used for HELOCs (Home Equity Lines of Credit)?

- A. 1-Year Treasury
- B. Prime Rate
- C. SOFR (Secured Overnight Financing Rate)
- D. Federal Funds Rate

54. The 'loan-to-value' (LTV) ratio is calculated as:

- A. Loan amount divided by the purchase price
- B. Loan amount divided by the lesser of purchase price or appraised value
- C. Purchase price divided by the loan amount
- D. Appraised value divided by the loan amount

55. A 'streamline refinance' (FHA or VA) typically allows the borrower to refinance with:

- A. No credit check or income verification
- B. Reduced documentation requirements and no new appraisal in many cases
- C. No closing costs of any kind
- D. Cash-out up to 100% LTV

56. A 'cash-out refinance' differs from a 'rate-and-term refinance' in that it:

- A. Pays off the existing mortgage at a lower rate
- B. Increases the loan balance beyond what is needed to pay off the existing loan
- C. Always results in a lower monthly payment
- D. Requires FHA insurance

Section 3: Loan Origination Activities

57. Which of the following best describes 'recasting' a mortgage?

- A. Refinancing to a new loan with different terms
- B. Making a large principal payment and re-amortizing the loan with lower monthly payments
- C. Temporarily reducing payments due to financial hardship
- D. Converting an ARM to a fixed-rate loan

58. The Uniform Residential Loan Application (URLA/1003) Section 4 collects information about:

- A. Property information and loan purpose
- B. Employment information
- C. Assets and liabilities
- D. Declaration questions about derogatory credit history

59. On the Loan Estimate, 'Section A' fees are:

- A. Fees that can change at closing
- B. Origination charges that cannot increase from estimate to closing
- C. Third-party service provider fees the borrower can shop for
- D. Taxes and government fees that can change based on the loan amount

60. Which of the following is a 'trigger term' under TILA that requires full disclosure of all credit terms in advertising?

- A. 'Low monthly payments available'
- B. 'Call for rates'
- C. 'Monthly payment of \$1,200'
- D. 'Pre-approval available'

61. When a borrower's employment history shows a recent job change, the lender should:

- A. Automatically decline the application
- B. Require a minimum of 2 years at the new job before proceeding
- C. Review the overall employment history and determine if the change is in the same field or represents career advancement
- D. Only consider income from the previous employer

62. Which of the following would be classified as an 'interested party contribution' in mortgage underwriting?

- A. A gift from the borrower's parents
- B. A closing cost credit from the seller
- C. A down payment assistance grant from a nonprofit
- D. Funds from the borrower's 401(k) loan

63. The appraisal report for a conventional loan is owned by:

- A. The appraiser who conducted it
- B. The lender who ordered it
- C. The borrower who paid for it
- D. The real estate agent

64. Under ATR/QM rules, a loan that meets the 'safe harbor' qualified mortgage definition provides the lender with:

- A. Complete immunity from any ATR lawsuit
- B. A rebuttable presumption that ATR was met, for higher-priced loans
- C. A conclusive presumption that ATR was met, for non-higher-priced loans
- D. Both A and C

65. What is the maximum DTI ratio for a conventional Qualified Mortgage?

- A. 41%
- B. 43%
- C. 45%
- D. 50%

66. A 'correspondent lender' differs from a 'mortgage broker' in that the correspondent:

- A. Does not underwrite loans
- B. Funds loans in its own name before selling them to a wholesale lender
- C. Only originates government loans
- D. Works directly for a retail bank

67. Which of the following items is included in the calculation of PITI?

- A. Principal, interest, taxes, and insurance
- B. Principal, index, tolerance, and income
- C. Payment, income, taxes, and interest
- D. Principal, interest, title costs, and inspections

68. On the Loan Estimate, 'Section B' fees are:

- A. Origination charges with 0% tolerance
- B. Services the borrower cannot shop for, with 10% aggregate tolerance
- C. Services the borrower can shop for, with 10% aggregate tolerance
- D. Government recording and transfer taxes with 0% tolerance

69. In a purchase transaction, the earnest money deposit is:

- A. Always paid to the lender
- B. A good-faith deposit held by the escrow agent or title company until closing
- C. An upfront loan fee paid to the lender
- D. A non-refundable fee paid to the real estate agent

70. A 'gift letter' in mortgage lending is required to document that:

- A. The gift giver has sufficient funds
- B. The gifted funds do not need to be repaid
- C. The gift is from an eligible donor as defined by the loan program
- D. All of the above

71. Which of the following income types typically requires a 2-year history to be used for qualifying?

- A. Base salary from a W-2 employee
- B. Overtime and bonus income
- C. Income from a single part-time job held for 3 years
- D. Pension income

72. The purpose of the 'three-day rule' under TRID for the Loan Estimate is to:

- A. Allow the borrower 3 days to cancel the loan
- B. Ensure the borrower has time to review the terms before being bound to the loan
- C. Allow the lender 3 days to approve or deny the application
- D. Give the title company 3 days to clear title

73. What is a 'verification of employment' (VOE) used for in mortgage origination?

- A. Verifying the borrower's credit score
- B. Confirming the borrower's current employment status, income, and length of employment
- C. Verifying the borrower's bank account balances
- D. Confirming the property is in an eligible area

74. Under TRID, which of the following fees has ZERO tolerance (cannot increase at closing)?

- A. Pest inspection fee
- B. Owner's title insurance premium
- C. Lender's origination fee
- D. Recording fees

75. When must an MLO provide an applicant with a copy of the appraisal?

- A. At the time of application
- B. Within 3 business days of completion, or 3 business days before closing — whichever is earlier
- C. At closing
- D. Only if the borrower requests it

76. A 'short sale' in real estate occurs when:

- A. The property sells quickly within 30 days of listing
- B. The property sells for less than the outstanding mortgage balance, with lender approval
- C. The borrower sells before completing a 2-year wait period
- D. The listing agent reduces the price below market value

77. In mortgage lending, 'layers of risk' refers to:

- A. The number of appraisals required
- B. Multiple risk factors on a single loan that compound the overall risk
- C. The number of liens on a property
- D. Different insurance requirements for various loan types

78. The purpose of lender-paid mortgage insurance (LPMI) is to:

- A. Protect the borrower from default
- B. Allow the borrower to avoid a separate monthly PMI premium in exchange for a higher rate
- C. Provide coverage for the lender against natural disasters
- D. Cover the borrower's down payment

79. Under FHA guidelines, the maximum seller concessions (contributions) allowed are:

- A. 2% of the purchase price
- B. 3% of the appraised value
- C. 6% of the lesser of purchase price or appraised value
- D. 4% of the loan amount

80. A 'rate lock' in mortgage lending means:

- A. The borrower is locked out of refinancing for a set period
- B. The lender guarantees a specific interest rate for a defined period
- C. The rate cannot change after closing
- D. The property is locked as collateral for the loan term

81. What does 'CLTV' stand for, and how does it differ from LTV?

- A. Combined Loan-to-Value; it includes all liens on the property divided by the property value
- B. Current Loan-to-Value; it uses the current balance of the first mortgage only
- C. Calculated Loan-to-Value; it uses the net present value of the loan
- D. Consumer Loan-to-Value; it applies only to consumer purpose loans

82. In underwriting, a 'compensating factor' is used when:

- A. The borrower's income is too high
- B. A risk factor exceeds program guidelines but other strengths offset the risk
- C. The lender offers a lower rate in exchange for upfront fees
- D. The property appraises above the purchase price

83. An MLO who knows their borrower cannot qualify for a conventional loan and deliberately steers them to a higher-cost FHA loan to earn a higher commission is engaging in:

- A. Responsible lending
- B. Loan steering, which violates ethical and legal standards
- C. Standard industry practice
- D. Permissible product recommendation

84. A borrower reports that their MLO told them 'don't worry about the income section, just list what you need to qualify.' This is an example of:

- A. Acceptable loan structuring
- B. Mortgage fraud — income misrepresentation
- C. Legal alternative documentation
- D. Standard underwriting flexibility

85. The term 'predatory lending' encompasses practices that:

- A. Only apply to subprime loans
- B. Are deceptive, unfair, or abusive regardless of loan type
- C. Are prohibited only in high-cost areas
- D. Apply only to lenders with more than \$1 billion in assets

86. An MLO who adds fees to a loan after the disclosure period without a valid changed circumstance is engaging in:

- A. Acceptable repricing
- B. A TRID violation — fee tolerance
- C. Normal market adjustment
- D. Allowable lender discretion

Section 4: Ethics

87. Which of the following describes 'churning' in mortgage lending?

- A. Processing multiple applications simultaneously
- B. Repeatedly refinancing a borrower's loan to generate fees without benefiting the borrower
- C. Selling loans to multiple investors
- D. Transferring the servicing of a loan multiple times

88. An MLO receives cash from a title company after a closing where the MLO referred the borrower to that title company. This is a violation of:

- A. ECOA
- B. RESPA Section 8
- C. FCRA
- D. The SAFE Act

89. A lender's practice of requiring borrowers in a predominantly minority neighborhood to purchase additional loan products not required of borrowers in non-minority areas is an example of:

- A. Risk-based pricing
- B. Disparate treatment — illegal discrimination
- C. Standard underwriting adjustment
- D. Community reinvestment

90. Under UDAAP, a practice is considered 'abusive' if it:

- A. Results in any consumer complaint
- B. Materially interferes with a consumer's ability to understand a product or takes unreasonable advantage of a consumer's lack of understanding
- C. Is technically legal but unpopular
- D. Results in a higher APR than the market average

91. Which of the following is an example of 'equity stripping'?

- A. Making extra principal payments
- B. Convincing a homeowner with significant equity to take out a high-fee loan they cannot repay, threatening their home
- C. Using equity for a legitimate home improvement project
- D. Refinancing to access equity for debt consolidation

92. An MLO who is authorized to originate loans in State A originates a loan for a property in State B where the MLO is NOT licensed. This is:

- A. Acceptable if the borrower lives in State A
- B. A violation of the SAFE Act and state licensing laws
- C. Allowable under temporary authority provisions
- D. Permitted if the loan is a refinance

93. The obligation of an MLO to recommend suitable loan products means:

- A. Always recommending the cheapest product available
- B. Recommending products that meet the borrower's needs and financial situation, even if it results in lower MLO compensation
- C. Recommending only the highest-margin products
- D. Recommending products from a pre-approved list

94. Dual agency in real estate (representing both buyer and seller) is:

- A. Always prohibited by federal law
- B. Always required in mortgage transactions
- C. A potential conflict of interest that is regulated by state law and requires disclosure
- D. Encouraged to reduce transaction costs

95. Which of the following best describes 'redlining'?

- A. Highlighting profitable lending areas
- B. Refusing to provide mortgage lending services in minority or integrated neighborhoods
- C. Drawing district lines for property tax assessment
- D. The process of reviewing a loan application

96. An MLO who tells a borrower 'this is the last property available at this price, you need to sign today' is engaging in:

- A. Effective sales technique
- B. High-pressure sales tactics that may constitute an abusive or deceptive practice under UDAAP
- C. Standard competitive market advice
- D. Required urgency disclosure

97. If an MLO discovers that a borrower has submitted fraudulent documents, the MLO should:

- A. Proceed with the loan if the borrower otherwise qualifies
- B. Delete the documents and not report anything
- C. Refuse to proceed and report the fraud as required by policy and law
- D. Advise the borrower to resubmit corrected documents

98. Under the SAFE Act, the NMLS Unique Identifier must appear on:

- A. All social media posts by the MLO
- B. All residential mortgage loan applications and any solicitations for residential mortgage loans
- C. Business cards only
- D. Annual license renewal forms only

99. Which of the following best describes 'temporary authority' under the SAFE Act?

- A. Emergency authority to originate commercial loans
- B. Allows registered MLOs (from depository institutions) and licensed MLOs moving to a new state to continue originating while their application is pending
- C. Authority to originate loans without any license for 90 days
- D. Authority granted by a lender when an MLO's license is under review

100. An MLO who moves from one state-licensed company to another must:

- A. Retest and take 20 new hours of pre-licensure education
- B. Submit a sponsorship transfer request through NMLS and receive approval from the new state(s)
- C. Wait 6 months before originating at the new company
- D. Apply for a new NMLS Unique Identifier

101. NMLS annual renewal deadlines for state-licensed MLOs typically fall on:

- A. July 1 of each year
- B. The anniversary of the MLO's initial licensure
- C. December 31 of each year, with renewals due by that date
- D. September 30 of each year

102. Under the SAFE Act, which of the following disqualifies a person from obtaining an MLO license?

- A. A DUI conviction from 10 years ago
- B. A felony conviction involving fraud, dishonesty, breach of trust, or money laundering within the last 7 years
- C. A bankruptcy filed 5 years ago
- D. A credit score below 680

103. The minimum annual continuing education requirement for state-licensed MLOs under the SAFE Act is:

- A. 4 hours
- B. 6 hours
- C. 8 hours
- D. 12 hours

104. If a state-licensed MLO's license expires and they continue to originate loans for 30 days without renewal, this could result in:

- A. Only a warning from the state regulator
- B. Administrative, civil, or criminal penalties
- C. Automatic renewal if CE was completed
- D. A 90-day grace period automatically granted

105. Which of the following is a requirement for maintaining an MLO license in most states under SAFE Act standards?

- A. Owning a physical office in the state
- B. Having a surety bond and maintaining records for a specified period
- C. Originating a minimum number of loans per year
- D. Having a college degree in finance

Section 5: Uniform State Content (SAFE Act & Licensing)

106. Under the SAFE Act, which of the following would permanently bar someone from obtaining an MLO license?

- A. A felony conviction for mortgage fraud at any time in the past
- B. A misdemeanor DUI conviction
- C. A Chapter 7 bankruptcy discharged more than 10 years ago
- D. An outstanding civil judgment from a car accident

107. The NMLS requires MLOs to disclose which of the following on their MU4 (individual) form?

- A. All residential addresses for the past 5 years
- B. All criminal convictions, pending charges, and regulatory actions
- C. Personal net worth and investment portfolio
- D. References from at least 3 colleagues

108. State regulators may examine a licensed mortgage company's records and loan files:

- A. Only with 30 days advance notice
- B. Only when a consumer complaint has been filed
- C. Periodically, with or without advance notice, and for examination periods determined by the state
- D. Only once every 5 years

109. Under the SAFE Act, a state-licensed MLO must notify their state regulator within how many days of changing their employer?

- A. 5 business days
- B. 10 business days
- C. 30 calendar days
- D. 60 calendar days

110. Which of the following is the primary purpose of the SAFE Act's pre-licensure education requirement?

- A. To ensure MLOs can underwrite their own loans
- B. To establish a baseline knowledge of mortgage law, ethics, and lending practices before MLOs interact with consumers
- C. To provide real estate agent continuing education credit
- D. To test marketing and sales skills

111. Which entity administers the NMLS on behalf of the participating state regulators?

- A. The CFPB
- B. HUD
- C. The Conference of State Bank Supervisors (CSBS) and the American Association of Residential Mortgage Regulators (AARMR)
- D. The Federal Reserve

112. A state regulator finding that an MLO has engaged in a pattern of violating TRID disclosure requirements could take which of the following actions?

- A. The regulator can only report findings to HUD
- B. The regulator may impose fines, require restitution, suspend or revoke the MLO's license
- C. The regulator may only issue a formal warning for first-time violations
- D. Only the CFPB can take action against state-licensed MLOs for federal violations

113. Under RESPA, when a loan is sold or transferred to a new servicer, the new servicer must provide the borrower a transfer notice within:

- A. 5 business days after the effective transfer date
- B. 15 business days after the effective transfer date
- C. 30 calendar days after the effective transfer date
- D. 60 calendar days after the effective transfer date

114. In the context of the SAFE Act, the term 'residential mortgage loan' covers loans secured by:

- A. Only single-family homes
- B. Only owner-occupied properties
- C. A dwelling, including 1-4 unit residential properties used as residences
- D. Only properties with a loan amount under \$1 million

115. Which of the following best describes a 'reverse mortgage'?

- A. A loan that requires no monthly payments and is repaid when the borrower sells, moves out, or dies
- B. A loan that pays the borrower monthly
- C. A mortgage where the payments decrease over time
- D. A loan that is only available to borrowers under 62

116. TILA's Regulation Z establishes rules for credit advertising. Which of the following is TRUE about mortgage advertising?

- A. APR need not be disclosed in all advertisements
- B. If the monthly payment is stated, all relevant credit terms must be disclosed
- C. Only print advertisements are regulated
- D. Interest rate advertisements require no other disclosures

117. A 'purchase money transaction' under TILA's right of rescission rules means:

- A. Any loan used for a purchase
- B. Specifically a loan from the seller to the buyer as part of a seller-financed transaction, AND is exempt from rescission
- C. A loan that finances the purchase of real estate and is NOT exempt from rescission
- D. A loan secured by commercial property

118. The Flood Disaster Protection Act requires lenders to:

- A. Inspect all properties for flood damage before closing
- B. Purchase flood insurance on behalf of all borrowers in flood zones
- C. Require flood insurance on federally regulated loans for properties in Special Flood Hazard Areas
- D. Disclose flood zone status only for properties in coastal areas

119. Under Dodd-Frank's mortgage rules, a 'high-cost mortgage' (HOEPA) is triggered when:

- A. The APR exceeds the APOR by 1.5 percentage points for a first lien
- B. The APR exceeds the APOR by more than 6.5% for a first lien
- C. Points and fees exceed 5% of the loan amount for loans over \$20,000
- D. The loan has a balloon payment

120. The 'National Do Not Call Registry' and telemarketing rules are relevant to MLO marketing because:

- A. MLOs must register all borrower phone numbers with the registry
- B. MLOs who make unsolicited telemarketing calls to consumers on the DNC registry may face FTC penalties
- C. MLOs are completely exempt from DNC rules
- D. Only non-bank lenders must comply with DNC rules

Section 1: Federal Mortgage-Related Laws

Q1: Under TILA, the Annual Percentage Rate (APR) must be disclosed no later than:

- A. At the time of application
- B. Three business days before consummation
- C. At closing

✓ **D. Within three business days of application**

Explanation: Under TILA/Regulation Z, lenders must deliver early disclosures (including APR) within three business days of receiving a completed application.

Q2: Which of the following triggers the right of rescission under TILA?

- A. A purchase money mortgage on a principal dwelling
- ✓ **B. A refinance of a principal dwelling with a different lender**
- C. A home equity loan on a vacation home
- D. A purchase loan on an investment property

Explanation: The right of rescission under TILA applies to non-purchase money mortgages secured by the borrower's principal dwelling, including refinances with a different lender. Purchase money mortgages are exempt.

Q3: Under RESPA, a 'controlled business arrangement' (CBA) is now referred to as an:

- ✓ **A. Affiliated business arrangement (AfBA)**
- B. Associated service entity (ASE)
- C. Joint venture arrangement (JVA)
- D. Captive reinsurance arrangement (CRA)

Explanation: RESPA updated the terminology from 'controlled business arrangement' to 'affiliated business arrangement' (AfBA). AfBAs are permitted under RESPA if certain disclosure requirements are met.

Q4: The HMDA LAR (Loan Application Register) must be submitted to the appropriate federal agency by:

- A. January 1 of the following year
- ✓ **B. March 1 of the following year**
- C. March 31 of the following year
- D. June 30 of the following year

Explanation: Under HMDA/Regulation C, covered institutions must submit their LAR data to the CFPB or appropriate agency by March 1 of the year following the calendar year for which data was collected.

Q5: Which of the following is NOT a trigger for providing a new Loan Estimate under TRID?

- A. Borrower requests a rate lock
- B. New construction loan with delayed settlement
- C. Borrower changes the loan product from fixed to ARM
- ✓ **D. Borrower decides to add a co-borrower**

Explanation: Adding a co-borrower does not automatically trigger a revised Loan Estimate. Valid changed circumstances that permit a revised LE include rate lock requests, construction loan extensions, and changes to loan terms.

Q6: Under ECOA, a lender must notify an applicant of its credit decision within:

- A. 10 business days
- ✓ B. 30 calendar days
- C. 30 business days
- D. 45 calendar days

Explanation: Under ECOA/Regulation B, a creditor must notify an applicant of its action on a completed application within 30 calendar days.

Q7: The Homeowners Protection Act (HPA) requires automatic cancellation of PMI when LTV reaches:

- A. 80% based on original value
- ✓ B. 78% based on original value through scheduled payments
- C. 78% based on current appraised value
- D. 80% based on current appraised value

Explanation: The HPA requires automatic PMI cancellation when the loan balance reaches 78% of the original purchase price or appraised value (whichever is less) through scheduled amortization payments.

Q8: Under the Fair Housing Act, which of the following is a protected class at the FEDERAL level?

- A. Sexual orientation
- B. Source of income
- C. Marital status
- ✓ D. Familial status

Explanation: The seven federal protected classes under the Fair Housing Act are: race, color, national origin, religion, sex, disability, and familial status. Sexual orientation, source of income, and marital status are protected under some state laws but not at the federal level.

Q9: The Bank Secrecy Act requires financial institutions to file a Currency Transaction Report (CTR) for cash transactions exceeding:

- A. \$5,000
- B. \$7,500
- ✓ C. \$10,000
- D. \$25,000

Explanation: The Bank Secrecy Act requires financial institutions to file a Currency Transaction Report (CTR) for any single currency transaction or related transactions exceeding \$10,000 in one business day.

Q10: Under Dodd-Frank, which entity was given authority to supervise non-bank mortgage lenders and servicers?

- A. Federal Reserve
- B. OCC
- ✓ C. CFPB
- D. HUD

Explanation: The Dodd-Frank Act created the CFPB and gave it authority to supervise and regulate non-bank mortgage lenders, servicers, and other financial service providers previously not subject to federal oversight.

Q11: HOEPA loans (high-cost loans) are subject to which of the following restrictions?

- A. Required title insurance
- ✓ B. Prohibition on balloon payments in most cases
- C. Maximum loan-to-value of 80%
- D. Mandatory 30-year amortization

Explanation: HOEPA (Section 32 of TILA) prohibits balloon payments on high-cost loans with a term of less than five years, among other restrictions such as no negative amortization, no prepayment penalties after a certain period, and no advance payments.

Q12: Under the SAFE Act, an MLO license is NOT required for which of the following?

- A. A person who takes a complete loan application
- B. A person who offers or negotiates loan terms
- ✓ C. A bank employee who originates loans on behalf of the bank
- D. A person who arranges a residential mortgage loan

Explanation: The SAFE Act requires state licensure for non-bank MLOs. Employees of federally regulated institutions (banks, credit unions, Farm Credit System) are exempt from state licensure but must register with the NMLS.

Q13: Under FCRA, a consumer may dispute inaccurate information on their credit report. The credit reporting agency must investigate and respond within:

- A. 15 days
- ✓ B. 30 days
- C. 45 days
- D. 60 days

Explanation: Under FCRA, credit reporting agencies must investigate consumer disputes and respond within 30 days (or 45 days if the consumer provides additional information during the investigation period).

Q14: The Mortgage Disclosure Improvement Act (MDIA) required early disclosures to be delivered no later than:

- A. 3 business days after application
- B. 3 business days before consummation
- ✓ C. Both A and B
- D. 7 business days before consummation

Explanation: MDIA required that early TILA disclosures be provided within 3 business days of application AND at least 7 business days before consummation. These requirements were largely incorporated into TRID.

Q15: Under RESPA's Section 6, a servicer must acknowledge a 'qualified written request' (QWR) from a borrower within:

- ✓ A. 5 business days
- B. 7 business days
- C. 20 business days
- D. 30 business days

Explanation: Under RESPA Section 6, a servicer must acknowledge receipt of a Qualified Written Request (QWR) within 5 business days and must take action to resolve the issue within 30 business days.

Q16: Which federal law prohibits lenders from discriminating in the terms and conditions of credit based on race, color, religion, national origin, sex, marital status, or age?

- A. Fair Housing Act
- ✓ B. Equal Credit Opportunity Act (ECOA)
- C. Community Reinvestment Act (CRA)
- D. Home Mortgage Disclosure Act (HMDA)

Explanation: The Equal Credit Opportunity Act (ECOA)/Regulation B prohibits discrimination in any aspect of a credit transaction based on race, color, religion, national origin, sex, marital status, age, receipt of public assistance income, or exercise of rights under the Consumer Credit Protection Act.

Q17: The CFPB's UDAAP authority covers which types of practices?

- A. Unfair, discriminatory, and abusive practices
- ✓ B. Unfair, deceptive, or abusive acts or practices
- C. Unlawful, deceptive, and aggressive practices
- D. Unjust, disparate, and arbitrary practices

Explanation: UDAAP stands for Unfair, Deceptive, or Abusive Acts or Practices. The CFPB has authority to prohibit these practices in the consumer financial services market under Dodd-Frank.

Q18: Under TRID, the Closing Disclosure must be received by the borrower at least how many business days before consummation?

- A. 1 business day
- ✓ B. 3 business days
- C. 5 business days
- D. 7 business days

Explanation: Under TRID, the consumer must receive the Closing Disclosure at least 3 business days before consummation. For this rule, business days include all calendar days except Sundays and federal public holidays.

Q19: A loan is considered a 'higher-priced mortgage loan' (HPML) under Regulation Z when its APR exceeds the APOR by more than:

- ✓ A. 1.5 percentage points for a first-lien loan
- B. 1.5 percentage points for a subordinate-lien loan
- C. 3.5 percentage points for a first-lien jumbo loan
- D. 2.5 percentage points for all loans

Explanation: A first-lien loan is an HPML if its APR exceeds the APOR by 1.5+ percentage points. For jumbo loans, the threshold is 2.5 points. For subordinate liens, the threshold is 3.5 points.

Q20: The Truth in Lending Act requires creditors to disclose the 'amount financed,' which is defined as:

- A. The loan principal
- B. The loan principal plus interest
- ✓ C. The loan amount less prepaid finance charges
- D. The total of all payments

Explanation: Under TILA, the 'amount financed' is the loan amount minus any prepaid finance charges (fees paid at or before closing that are included in the finance charge calculation). This gives the borrower the actual credit extended.

Q21: Under the S.A.F.E. Act, how many hours of pre-licensure education are required for state-licensed MLOs?

- A. 8 hours
- B. 15 hours
- ✓ C. 20 hours
- D. 24 hours

Explanation: The SAFE Act requires a minimum of 20 hours of pre-licensure education for state-licensed MLOs, including 3 hours of federal law, 3 hours of ethics, 2 hours of non-traditional mortgage products, and 12 hours of undefined electives.

Q22: Under Dodd-Frank's Ability-to-Repay rule, which of the following is NOT one of the eight underwriting factors a lender must consider?

- A. Current or reasonably expected income
- B. Simultaneous loans
- ✓ C. Credit score
- D. Monthly payments on the covered transaction

Explanation: The ATR rule's eight factors are: current/expected income, employment status, monthly payment on the covered transaction, monthly payment on simultaneous loans, monthly payment for mortgage-related obligations, current debt obligations, monthly DTI or residual income, and credit history. Credit score is not one of the eight specified factors (though it's part of credit history analysis).

Q23: RESPA requires the lender to provide the Special Information Booklet (HUD Guide to Settlement Services) to the borrower:

- A. At the time of closing
- ✓ B. Within 3 business days of application
- C. At least 7 days before closing
- D. At the time of rate lock

Explanation: Under RESPA, the lender must provide the Special Information Booklet (or Your Home Loan Toolkit under TRID) within 3 business days of receiving a complete application.

Q24: A 'no-cost' loan means the borrower:

- A. Pays no closing costs or interest
- ✓ B. Pays no closing costs but accepts a higher interest rate
- C. Pays no origination fee but may pay other closing costs
- D. Pays no points but pays all other settlement charges

Explanation: A 'no-cost' loan means the lender pays the borrower's closing costs in exchange for charging a higher interest rate. The costs are not eliminated — they are built into the loan through a higher rate and/or lender credits.

Q25: Under HMDA, which of the following loans is exempt from reporting requirements?

- A. Home purchase loans
- B. Refinance loans
- C. Open-end lines of credit
- ✓ D. Loans on purely commercial properties not used for residential purposes

Explanation: HMDA covers dwelling-secured loans for home purchase, refinancing, and home improvement. Loans on purely commercial properties (not residential dwellings) are exempt from HMDA reporting.

Q26: Under the Fair Credit Reporting Act, a consumer's credit report may be accessed without consent for which purpose?

- A. Employment verification if the employer pays a fee
- ✓ **B. Insurance underwriting with a firm offer of insurance**
- C. Marketing purposes only
- D. Identity verification for any purpose

Explanation: FCRA allows 'permissible purposes' for accessing credit reports without explicit consent, including firm offers of credit or insurance. This allows prescreening programs. Employment requires FCRA-specific written consent.

Q27: Which of the following is required on the Loan Estimate under TRID?

- A. The seller's net proceeds
- B. The exact monthly payment including all taxes and insurance
- ✓ **C. A statement of whether the interest rate can increase after consummation**
- D. The lender's profit margin

Explanation: The Loan Estimate must include a table showing projected payments, including whether the interest rate is fixed or can adjust. It must clearly disclose whether the rate, periodic payments, or loan balance can increase.

Q28: Under Regulation X (RESPA), an escrow account can collect an initial cushion of up to:

- A. One month's escrow payment
- ✓ **B. Two months' escrow payments**
- C. Three months' escrow payments
- D. Six months' escrow payments

Explanation: RESPA limits the initial escrow deposit (cushion) to no more than two months of escrow payments. This protects borrowers from excessive escrow impound requirements.

Section 2: General Mortgage Knowledge

Q29: The Integrated Mortgage Disclosures (TRID) rule was designed to replace which two sets of disclosures?

- A. The GFE and the HUD-1 Settlement Statement
- B. The TIL and the Good Faith Estimate
- ✓ **C. Both the early TIL disclosure + GFE (replaced by Loan Estimate) and the final TIL + HUD-1 (replaced by Closing Disclosure)**
- D. The RESPA booklet and the TIL disclosure

Explanation: TRID replaced: (1) the GFE and early TILA disclosure with the Loan Estimate, and (2) the HUD-1 Settlement Statement and final TILA disclosure with the Closing Disclosure. The goal was to simplify and integrate the RESPA and TILA disclosure requirements.

Q30: In a 5/1 ARM, what does the '1' represent?

- A. The initial rate lasts 1 year
- B. The rate adjusts once after the fixed period
- ✓ C. The rate can adjust every 1 year after the initial fixed period
- D. The margin is 1%

Explanation: In ARM notation, the first number (5) is the initial fixed-rate period in years, and the second number (1) is how frequently the rate adjusts after the fixed period. A 5/1 ARM has a fixed rate for 5 years, then adjusts annually.

Q31: Which of the following describes a 'conforming' loan?

- A. A loan that conforms to FHA underwriting guidelines
- ✓ B. A loan that meets Fannie Mae and Freddie Mac purchase requirements, including loan limits
- C. A loan with no private mortgage insurance requirement
- D. A loan with a fixed interest rate

Explanation: A conforming loan meets the guidelines established by Fannie Mae and Freddie Mac, including maximum loan limits set by FHFA, credit requirements, LTV limits, and other underwriting standards, making it eligible for purchase by the GSEs.

Q32: The secondary mortgage market primarily serves to:

- A. Provide direct loans to consumers
- B. Regulate mortgage interest rates
- ✓ C. Provide liquidity to lenders by purchasing loans they originate
- D. Insure mortgages against default

Explanation: The secondary mortgage market (dominated by Fannie Mae, Freddie Mac, and Ginnie Mae) provides liquidity by purchasing mortgages from originators, replenishing their capital so they can make new loans.

Q33: A mortgage-backed security (MBS) is:

- A. Insurance on a mortgage pool
- ✓ B. A bond collateralized by a pool of mortgage loans
- C. A government guarantee on individual mortgages
- D. A futures contract on mortgage rates

Explanation: A mortgage-backed security (MBS) is a type of asset-backed security collateralized by a pool of mortgages. Investors receive periodic payments from the underlying mortgage payments (principal and interest).

Q34: Fannie Mae and Freddie Mac are known as:

- A. Federal agencies
- ✓ B. Government-Sponsored Enterprises (GSEs)
- C. State housing finance agencies
- D. Federal Reserve member banks

Explanation: Fannie Mae (Federal National Mortgage Association) and Freddie Mac (Federal Home Loan Mortgage Corporation) are Government-Sponsored Enterprises (GSEs) — they are privately owned but operate with an implied federal backing.

Q35: Ginnie Mae (GNMA) guarantees MBS backed by which types of loans?

- A. Conventional conforming loans only
- B. Jumbo loans only
- ✓ C. FHA, VA, and USDA loans
- D. All federally originated loans

Explanation: Ginnie Mae (Government National Mortgage Association) guarantees the timely payment of principal and interest on MBS backed by government-insured or guaranteed loans, specifically FHA, VA, USDA, and HUD Section 184 loans.

Q36: Which of the following best describes 'yield spread premium' (YSP)?

- A. The difference between the par rate and market rate
- ✓ B. Compensation paid by a lender to a broker for delivering a loan at an above-par interest rate
- C. A fee paid by the borrower to lower the interest rate
- D. The lender's profit on a mortgage transaction

Explanation: Yield spread premium (YSP) is compensation paid by the wholesale lender to the mortgage broker when the broker delivers a loan with an interest rate above the par rate. Under Regulation Z, broker compensation (including YSP) must be disclosed.

Q37: In a 'portfolio loan,' the originating lender:

- A. Sells the loan to Fannie Mae immediately after closing
- ✓ B. Keeps the loan on its own balance sheet rather than selling it
- C. Transfers servicing rights to a third party
- D. Shares the risk with multiple investors

Explanation: A portfolio loan is one that the originating lender keeps in its own portfolio (balance sheet) rather than selling to the secondary market. This gives the lender flexibility to offer non-conforming products.

Q38: The 'note rate' on a mortgage is the:

- A. APR including all fees
- ✓ B. Interest rate stated in the promissory note
- C. Rate after adjustments on an ARM
- D. Rate charged by the Federal Reserve to banks

Explanation: The note rate (also called the contract rate or stated rate) is the interest rate printed in the promissory note. The APR is higher than the note rate because it includes fees and other costs of credit.

Q39: Which of the following is characteristic of a 'jumbo' loan?

- A. It is backed by FHA insurance
- ✓ B. It exceeds the conforming loan limits set by FHFA
- C. It requires only 3% down payment
- D. It has a fixed rate for the life of the loan

Explanation: A jumbo loan (non-conforming) exceeds the conforming loan limits established by FHFA for Fannie Mae and Freddie Mac purchase eligibility. These loans typically require stricter underwriting, larger down payments, and carry higher rates.

Q40: The 'debt-to-income ratio' (DTI) in mortgage underwriting compares:

- A. Total debt to total assets
- ✓ B. Monthly debt payments to monthly gross income
- C. Annual debt to annual net income
- D. Mortgage payment to monthly take-home pay

Explanation: DTI compares the borrower's total monthly debt payments (including the proposed housing payment) to their gross monthly income (before taxes). Lenders use both front-end DTI (housing costs only) and back-end DTI (all debts).

Q41: A 'buydown' mortgage is one in which:

- A. The borrower pays extra principal each month
- ✓ B. An upfront payment reduces the interest rate for a period or the life of the loan
- C. The loan balance increases over time
- D. The interest rate is tied to a Treasury index

Explanation: A buydown involves an upfront payment (by the borrower, seller, or builder) to temporarily or permanently reduce the interest rate. A 2-1 buydown reduces the rate by 2% in year 1 and 1% in year 2, then reverts to the full rate.

Q42: Which of the following best describes a 'stated income' loan?

- A. A loan where income is verified through pay stubs and W-2s
- ✓ B. A loan where the borrower states their income without third-party verification
- C. A loan where income is verified through bank statements only
- D. A loan requiring a minimum income of \$100,000

Explanation: A 'stated income' loan (also called a 'no-doc' or 'low-doc' loan) allows the borrower to state their income without traditional verification. These were common before the 2008 crisis and contributed to defaults. The ATR rule now generally requires verification of income.

Q43: Private Mortgage Insurance (PMI) typically is required when the LTV ratio exceeds:

- A. 70%
- B. 75%
- ✓ C. 80%
- D. 90%

Explanation: PMI is typically required on conventional loans when the LTV exceeds 80% (i.e., down payment less than 20%). PMI protects the lender against default loss.

Q44: Which of the following describes 'negative amortization'?

- A. A loan where the balance decreases faster than scheduled
- ✓ B. A situation where the loan balance increases because payments don't cover accrued interest
- C. A loan with a balloon payment at maturity
- D. A loan where interest is prepaid at closing

Explanation: Negative amortization occurs when the periodic payment is less than the interest accruing on the loan, causing unpaid interest to be added to the principal balance. The loan balance grows over time rather than decreasing.

Q45: A 'hard prepayment penalty' is one that:

- A. Applies only if the borrower sells the property
- B. Applies when the borrower refinances but not when the property is sold
- ✓ C. Applies regardless of whether the borrower sells or refinances
- D. Applies only if the loan is paid off within 12 months

Explanation: A hard prepayment penalty applies whenever the loan is paid off early, regardless of the reason (sale or refinance). A soft prepayment penalty only applies to refinances, not sales.

Q46: The 'index' on an adjustable-rate mortgage is:

- A. A fixed rate set by the lender
- ✓ B. A publicly available benchmark rate to which the ARM rate is tied
- C. The lender's profit margin added to the rate
- D. The maximum rate the loan can reach

Explanation: The index is an independently published benchmark interest rate (such as SOFR, formerly LIBOR, or Treasury rates) to which the ARM interest rate is tied. The actual ARM rate equals the index plus the lender's margin.

Q47: A 'balloon mortgage' is characterized by:

- A. Monthly payments that increase over time
- ✓ B. Amortizing payments with a large lump-sum payment due at maturity
- C. A rate that adjusts monthly
- D. Negative amortization

Explanation: A balloon mortgage has periodic payments (often based on a 30-year amortization) with a large lump-sum (balloon) payment due at maturity, which is typically 5-7 years. The loan is not fully amortized by the maturity date.

Q48: Which of the following loan types has NO maximum loan amount set by the program?

- A. FHA loans
- ✓ B. VA loans
- C. Conventional conforming loans
- D. USDA loans

Explanation: VA loans have no maximum loan amount (though lenders set their own limits). The VA guaranty amount is what has limits. FHA, conventional conforming, and USDA loans all have maximum loan amounts.

Q49: A 'super conforming' (high-balance) loan is one that:

- A. Exceeds conforming limits in all markets
- ✓ B. Meets conforming guidelines but exceeds standard conforming limits in high-cost areas
- C. Is backed by FHA insurance
- D. Has extra collateral requirements

Explanation: Super conforming (high-balance) loans are in high-cost areas where FHFA has set higher loan limits. These loans can be sold to Fannie Mae and Freddie Mac but with slightly higher rates and fees.

Q50: Which factor is generally NOT used in determining a conventional loan's interest rate?

- A. Credit score
- B. Loan-to-value ratio
- ✓ C. Property state
- D. Occupancy type (primary/investment)

Explanation: While loan pricing varies by credit score, LTV, and occupancy type, the property's state is not generally a direct pricing factor for conventional loans (though state-level legal costs may affect fees). The other options are standard risk-based pricing factors.

Q51: The 'front-end ratio' in mortgage qualifying is:

- A. Total monthly debts divided by gross monthly income
- ✓ B. Monthly housing payment divided by gross monthly income
- C. Monthly housing payment divided by net monthly income
- D. Total annual housing costs divided by annual gross income

Explanation: The front-end ratio (housing ratio) is the proposed monthly housing payment (PITI + HOA, if applicable) divided by gross monthly income. It measures housing affordability independent of other debts.

Q52: Which of the following is a characteristic of a USDA Rural Development loan?

- A. Requires 3.5% minimum down payment
- B. Available in all geographic areas
- ✓ C. Can finance 100% of the purchase price in eligible areas
- D. Requires the borrower to be a veteran

Explanation: USDA Rural Development loans (Section 502) allow 100% financing (no down payment) for eligible borrowers in designated rural areas. USDA loans have income limits and geographic restrictions.

Q53: Which of the following indexes is most commonly used for HELOCs (Home Equity Lines of Credit)?

- A. 1-Year Treasury
- ✓ B. Prime Rate
- C. SOFR (Secured Overnight Financing Rate)
- D. Federal Funds Rate

Explanation: Most HELOCs are tied to the Prime Rate (published in the Wall Street Journal), which typically moves with the Federal Funds Rate. Prime Rate = Federal Funds Rate + 3%.

Q54: The 'loan-to-value' (LTV) ratio is calculated as:

- A. Loan amount divided by the purchase price
- ✓ B. Loan amount divided by the lesser of purchase price or appraised value
- C. Purchase price divided by the loan amount
- D. Appraised value divided by the loan amount

Explanation: LTV = Loan amount ÷ the lesser of (purchase price or appraised value). For refinances, it's the loan amount divided by the current appraised value. Using the lesser of the two values protects the lender.

Q55: A 'streamline refinance' (FHA or VA) typically allows the borrower to refinance with:

- A. No credit check or income verification
- ✓ **B. Reduced documentation requirements and no new appraisal in many cases**
- C. No closing costs of any kind
- D. Cash-out up to 100% LTV

Explanation: Streamline refinances (FHA Streamline and VA IRRRL) allow borrowers with existing government loans to refinance with reduced documentation — often no new appraisal, limited income verification, and minimal credit review — to lower their rate.

Q56: A 'cash-out refinance' differs from a 'rate-and-term refinance' in that it:

- A. Pays off the existing mortgage at a lower rate
- ✓ **B. Increases the loan balance beyond what is needed to pay off the existing loan**
- C. Always results in a lower monthly payment
- D. Requires FHA insurance

Explanation: In a cash-out refinance, the borrower takes out a new loan larger than the existing mortgage balance, receiving the difference in cash. A rate-and-term refinance only changes the rate and/or term without accessing equity.

Section 3: Loan Origination Activities

Q57: Which of the following best describes 'recasting' a mortgage?

- A. Refinancing to a new loan with different terms
- ✓ **B. Making a large principal payment and re-amortizing the loan with lower monthly payments**
- C. Temporarily reducing payments due to financial hardship
- D. Converting an ARM to a fixed-rate loan

Explanation: Recasting (or re-amortization) involves making a large lump-sum principal payment, after which the lender recalculates (recasts) the monthly payment based on the new, lower balance over the remaining loan term. Unlike refinancing, there are minimal fees and no new loan.

Q58: The Uniform Residential Loan Application (URLA/1003) Section 4 collects information about:

- A. Property information and loan purpose
- B. Employment information
- ✓ **C. Assets and liabilities**
- D. Declaration questions about derogatory credit history

Explanation: Section 4 of the URLA (1003) covers Financial Information – Assets and Liabilities, collecting information about checking/savings accounts, real estate owned, other assets, liabilities (debts), and real estate owned details.

Q59: On the Loan Estimate, 'Section A' fees are:

- A. Fees that can change at closing
- ✓ B. Origination charges that cannot increase from estimate to closing
- C. Third-party service provider fees the borrower can shop for
- D. Taxes and government fees that can change based on the loan amount

Explanation: Section A on the Loan Estimate includes origination charges (points, origination fees, application fees, underwriting fees) charged by the lender. These fees have a 0% tolerance — they cannot increase from the LE to the CD.

Q60: Which of the following is a 'trigger term' under TILA that requires full disclosure of all credit terms in advertising?

- A. 'Low monthly payments available'
- B. 'Call for rates'
- ✓ C. 'Monthly payment of \$1,200'
- D. 'Pre-approval available'

Explanation: TILA trigger terms in advertising include specific payment amounts, specific APR rates, down payment amounts, or repayment periods. If any trigger term is used, all required credit terms must be disclosed in the ad.

Q61: When a borrower's employment history shows a recent job change, the lender should:

- A. Automatically decline the application
- B. Require a minimum of 2 years at the new job before proceeding
- ✓ C. Review the overall employment history and determine if the change is in the same field or represents career advancement
- D. Only consider income from the previous employer

Explanation: Underwriters evaluate employment history holistically. A recent job change is acceptable if it represents a lateral move within the same field or a career advancement. What lenders look for is 2 years of employment history (not 2 years at the same job).

Q62: Which of the following would be classified as an 'interested party contribution' in mortgage underwriting?

- A. A gift from the borrower's parents
- ✓ B. A closing cost credit from the seller
- C. A down payment assistance grant from a nonprofit
- D. Funds from the borrower's 401(k) loan

Explanation: Interested party contributions (IPCs, also called seller concessions) are payments made by parties with a financial interest in the transaction (seller, builder, real estate agent) toward the buyer's closing costs. IPCs are limited by loan type and LTV.

Q63: The appraisal report for a conventional loan is owned by:

- A. The appraiser who conducted it
- ✓ B. The lender who ordered it
- C. The borrower who paid for it
- D. The real estate agent

Explanation: The appraisal is ordered by and belongs to the lender, even though the borrower pays for it. However, ECOA requires the lender to provide the borrower with a free copy of any appraisal/valuation within 3 business days of completion.

Q64: Under ATR/QM rules, a loan that meets the 'safe harbor' qualified mortgage definition provides the lender with:

- A. Complete immunity from any ATR lawsuit
- B. A rebuttable presumption that ATR was met, for higher-priced loans
- ✓ C. A conclusive presumption that ATR was met, for non-higher-priced loans
- D. Both A and C

Explanation: QM safe harbor (for non-higher-priced QMs) provides a conclusive presumption that the ATR requirements were met — it is essentially a complete legal shield. For higher-priced QMs, there is only a rebuttable presumption.

Q65: What is the maximum DTI ratio for a conventional Qualified Mortgage?

- A. 41%
- B. 43%
- C. 45%
- ✓ D. 50%

Explanation: The 2021 QM rule replaced the hard 43% DTI cap with a 'price-based' approach. The revised rule allows DTI up to 50% for standard QM loans if all other requirements are met (the DTI cap was removed as a standalone requirement for GSE-eligible QMs).

Q66: A 'correspondent lender' differs from a 'mortgage broker' in that the correspondent:

- A. Does not underwrite loans
- ✓ B. Funds loans in its own name before selling them to a wholesale lender
- C. Only originates government loans
- D. Works directly for a retail bank

Explanation: A correspondent lender originates, underwrites, and funds loans in its own name using its own capital, then sells the closed loans to wholesale lenders or aggregators. A mortgage broker matches borrowers with lenders but does not fund loans.

Q67: Which of the following items is included in the calculation of PITI?

- ✓ A. Principal, interest, taxes, and insurance
- B. Principal, index, tolerance, and income
- C. Payment, income, taxes, and interest
- D. Principal, interest, title costs, and inspections

Explanation: PITI stands for Principal, Interest, Taxes, and Insurance. It represents the full monthly housing payment including principal and interest on the loan, property taxes, and homeowner's insurance (and mortgage insurance if applicable).

Q68: On the Loan Estimate, 'Section B' fees are:

- A. Origination charges with 0% tolerance
- ✓ **B. Services the borrower cannot shop for, with 10% aggregate tolerance**
- C. Services the borrower can shop for, with 10% aggregate tolerance
- D. Government recording and transfer taxes with 0% tolerance

Explanation: Section B on the LE covers services the borrower cannot shop for (such as appraisal, credit report, flood determination, title services selected by the lender). These have a 10% aggregate tolerance — the total can increase by no more than 10% from LE to CD.

Q69: In a purchase transaction, the earnest money deposit is:

- A. Always paid to the lender
- ✓ **B. A good-faith deposit held by the escrow agent or title company until closing**
- C. An upfront loan fee paid to the lender
- D. A non-refundable fee paid to the real estate agent

Explanation: Earnest money (good faith deposit) is held in escrow by a neutral third party (title company or escrow agent) until closing. At closing, it is typically applied to the borrower's down payment or closing costs.

Q70: A 'gift letter' in mortgage lending is required to document that:

- A. The gift giver has sufficient funds
- B. The gifted funds do not need to be repaid
- C. The gift is from an eligible donor as defined by the loan program
- ✓ **D. All of the above**

Explanation: A gift letter must document that the funds are a genuine gift (no repayment required), identify the donor and their relationship to the borrower, confirm the donor has the funds available (through a bank statement), and confirm the donor meets program eligibility.

Q71: Which of the following income types typically requires a 2-year history to be used for qualifying?

- A. Base salary from a W-2 employee
- ✓ **B. Overtime and bonus income**
- C. Income from a single part-time job held for 3 years
- D. Pension income

Explanation: Variable income (overtime, bonuses, commission, self-employment) typically requires a 2-year history to average and demonstrate stability. Base salary from a W-2 job can often be used with a shorter history.

Q72: The purpose of the 'three-day rule' under TRID for the Loan Estimate is to:

- A. Allow the borrower 3 days to cancel the loan
- ✓ **B. Ensure the borrower has time to review the terms before being bound to the loan**
- C. Allow the lender 3 days to approve or deny the application
- D. Give the title company 3 days to clear title

Explanation: The 3-business-day waiting period after receiving the Loan Estimate ensures borrowers have sufficient time to review and compare loan terms before the loan proceeds. It prevents borrowers from being rushed into loan decisions.

Q73: What is a 'verification of employment' (VOE) used for in mortgage origination?

- A. Verifying the borrower's credit score
- ✓ **B. Confirming the borrower's current employment status, income, and length of employment**
- C. Verifying the borrower's bank account balances
- D. Confirming the property is in an eligible area

Explanation: A Verification of Employment (VOE) is completed by the employer and confirms the borrower's job title, start date, employment status (full-time/part-time), current salary, and year-to-date earnings. It is sent directly to the lender or completed through a third-party service.

Q74: Under TRID, which of the following fees has ZERO tolerance (cannot increase at closing)?

- A. Pest inspection fee
- B. Owner's title insurance premium
- ✓ **C. Lender's origination fee**
- D. Recording fees

Explanation: Section A fees (lender origination charges) have 0% tolerance — they cannot increase from LE to CD. Recording fees have 10% aggregate tolerance, and owner's title insurance has 10% tolerance when the lender selects the provider.

Q75: When must an MLO provide an applicant with a copy of the appraisal?

- A. At the time of application
- ✓ **B. Within 3 business days of completion, or 3 business days before closing — whichever is earlier**
- C. At closing
- D. Only if the borrower requests it

Explanation: Under ECOA/Regulation B, lenders must provide applicants with a copy of any appraisal or other written valuation promptly upon completion, and in any case no later than 3 business days before consummation.

Q76: A 'short sale' in real estate occurs when:

- A. The property sells quickly within 30 days of listing
- ✓ **B. The property sells for less than the outstanding mortgage balance, with lender approval**
- C. The borrower sells before completing a 2-year wait period
- D. The listing agent reduces the price below market value

Explanation: A short sale is when a lender agrees to accept less than the outstanding mortgage balance as full payment. It requires lender approval and typically occurs when the homeowner cannot afford the payments and the property is worth less than owed.

Q77: In mortgage lending, 'layers of risk' refers to:

- A. The number of appraisals required
- ✓ **B. Multiple risk factors on a single loan that compound the overall risk**
- C. The number of liens on a property
- D. Different insurance requirements for various loan types

Explanation: Layers of risk occur when multiple risk factors exist on a single loan (e.g., low credit score + high LTV + limited employment history + investment property). Each additional risk factor compounds overall default risk, making lenders more cautious.

Q78: The purpose of lender-paid mortgage insurance (LPMI) is to:

- A. Protect the borrower from default
- ✓ **B. Allow the borrower to avoid a separate monthly PMI premium in exchange for a higher rate**
- C. Provide coverage for the lender against natural disasters
- D. Cover the borrower's down payment

Explanation: With LPMI, the lender pays the PMI premium but charges the borrower a higher interest rate. The borrower avoids a separate PMI line item on their payment. Unlike borrower-paid PMI, LPMI cannot be cancelled when LTV reaches 80%.

Q79: Under FHA guidelines, the maximum seller concessions (contributions) allowed are:

- A. 2% of the purchase price
- B. 3% of the appraised value
- ✓ **C. 6% of the lesser of purchase price or appraised value**
- D. 4% of the loan amount

Explanation: FHA allows seller concessions (interested party contributions) up to 6% of the lesser of the purchase price or appraised value. This is more generous than conventional limits, which vary from 2-9% depending on LTV.

Q80: A 'rate lock' in mortgage lending means:

- A. The borrower is locked out of refinancing for a set period
- ✓ **B. The lender guarantees a specific interest rate for a defined period**
- C. The rate cannot change after closing
- D. The property is locked as collateral for the loan term

Explanation: A rate lock is a commitment from the lender to guarantee a specific interest rate and points for a defined period (typically 30-60 days) while the loan is processed. It protects the borrower from rate increases before closing.

Q81: What does 'CLTV' stand for, and how does it differ from LTV?

- ✓ **A. Combined Loan-to-Value; it includes all liens on the property divided by the property value**
- B. Current Loan-to-Value; it uses the current balance of the first mortgage only
- C. Calculated Loan-to-Value; it uses the net present value of the loan
- D. Consumer Loan-to-Value; it applies only to consumer purpose loans

Explanation: CLTV (Combined LTV) is calculated by dividing all outstanding liens on the property (first mortgage + second mortgage + HELOC) by the property value. It measures total encumbrance compared to LTV, which only considers the first mortgage.

Q82: In underwriting, a 'compensating factor' is used when:

- A. The borrower's income is too high
- ✓ **B. A risk factor exceeds program guidelines but other strengths offset the risk**
- C. The lender offers a lower rate in exchange for upfront fees
- D. The property appraises above the purchase price

Explanation: Compensating factors are positive loan attributes that may allow approval despite a guideline exceedance (e.g., high reserves, low LTV, stable long-term employment, or substantial down payment may compensate for a slightly high DTI).

Q83: An MLO who knows their borrower cannot qualify for a conventional loan and deliberately steers them to a higher-cost FHA loan to earn a higher commission is engaging in:

- A. Responsible lending
- ✓ **B. Loan steering, which violates ethical and legal standards**
- C. Standard industry practice
- D. Permissible product recommendation

Explanation: Steering is the illegal/unethical practice of directing borrowers to products that benefit the MLO (through higher compensation) rather than products that are in the borrower's best interest. Regulation Z prohibits compensation practices that incentivize steering.

Q84: A borrower reports that their MLO told them 'don't worry about the income section, just list what you need to qualify.' This is an example of:

- A. Acceptable loan structuring
- ✓ **B. Mortgage fraud — income misrepresentation**
- C. Legal alternative documentation
- D. Standard underwriting flexibility

Explanation: Instructing a borrower to fabricate or inflate income on a loan application is mortgage fraud (specifically income misrepresentation or occupancy fraud). It is illegal under federal law and can result in criminal prosecution.

Q85: The term 'predatory lending' encompasses practices that:

- A. Only apply to subprime loans
- ✓ **B. Are deceptive, unfair, or abusive regardless of loan type**
- C. Are prohibited only in high-cost areas
- D. Apply only to lenders with more than \$1 billion in assets

Explanation: Predatory lending encompasses any deceptive, unfair, or abusive lending practice that exploits borrowers, including excessive fees, unnecessary products, equity stripping, loan flipping, and targeting vulnerable populations. It applies regardless of loan type or lender size.

Q86: An MLO who adds fees to a loan after the disclosure period without a valid changed circumstance is engaging in:

- A. Acceptable repricing
- ✓ **B. A TRID violation — fee tolerance**
- C. Normal market adjustment
- D. Allowable lender discretion

Explanation: Under TRID, fees disclosed on the Loan Estimate are subject to tolerance limits. Adding or increasing fees without a valid changed circumstance violates TRID and constitutes an improper practice. The lender may be required to refund excess amounts.

Section 4: Ethics

Q87: Which of the following describes 'churning' in mortgage lending?

- A. Processing multiple applications simultaneously
- ✓ **B. Repeatedly refinancing a borrower's loan to generate fees without benefiting the borrower**
- C. Selling loans to multiple investors
- D. Transferring the servicing of a loan multiple times

Explanation: Churning (also called loan flipping) is the unethical and often illegal practice of repeatedly refinancing a borrower into new loans primarily to generate origination fees, often stripping equity from the property without providing net tangible benefit to the borrower.

Q88: An MLO receives cash from a title company after a closing where the MLO referred the borrower to that title company. This is a violation of:

- A. ECOA
- ✓ **B. RESPA Section 8**
- C. FCRA
- D. The SAFE Act

Explanation: RESPA Section 8 prohibits giving or receiving any fee, kickback, or thing of value for the referral of real estate settlement services. Accepting cash from a title company for referrals is a direct RESPA Section 8 violation.

Q89: A lender's practice of requiring borrowers in a predominantly minority neighborhood to purchase additional loan products not required of borrowers in non-minority areas is an example of:

- A. Risk-based pricing
- ✓ **B. Disparate treatment — illegal discrimination**
- C. Standard underwriting adjustment
- D. Community reinvestment

Explanation: Imposing additional requirements on borrowers based on neighborhood demographics (racial or ethnic composition) is disparate treatment discrimination under ECOA and the Fair Housing Act. It is illegal regardless of whether the lender claims a business justification.

Q90: Under UDAAP, a practice is considered 'abusive' if it:

- A. Results in any consumer complaint
- ✓ **B. Materially interferes with a consumer's ability to understand a product or takes unreasonable advantage of a consumer's lack of understanding**
- C. Is technically legal but unpopular
- D. Results in a higher APR than the market average

Explanation: Under UDAAP, an 'abusive' act materially interferes with the consumer's ability to understand terms, or takes unreasonable advantage of the consumer's lack of understanding of risks, their inability to protect their interests, or their reasonable reliance on the covered person.

Q91: Which of the following is an example of 'equity stripping'?

- A. Making extra principal payments
- ✓ **B. Convincing a homeowner with significant equity to take out a high-fee loan they cannot repay, threatening their home**
- C. Using equity for a legitimate home improvement project
- D. Refinancing to access equity for debt consolidation

Explanation: Equity stripping is a predatory practice where lenders target homeowners (often elderly or low-income) with significant home equity, inducing them to take out loans they cannot afford, ultimately leading to foreclosure and loss of their equity.

Q92: An MLO who is authorized to originate loans in State A originates a loan for a property in State B where the MLO is NOT licensed. This is:

- A. Acceptable if the borrower lives in State A
- ✓ **B. A violation of the SAFE Act and state licensing laws**
- C. Allowable under temporary authority provisions
- D. Permitted if the loan is a refinance

Explanation: MLOs must be licensed in the state where the property is located (for purchase loans) or where the borrower resides (for refinances), depending on state law. Originating loans without proper licensure violates the SAFE Act and state regulations.

Q93: The obligation of an MLO to recommend suitable loan products means:

- A. Always recommending the cheapest product available
- ✓ **B. Recommending products that meet the borrower's needs and financial situation, even if it results in lower MLO compensation**
- C. Recommending only the highest-margin products
- D. Recommending products from a pre-approved list

Explanation: Suitability requires MLOs to recommend products that genuinely serve the borrower's needs and financial situation. An MLO should not steer borrowers to products that primarily benefit the MLO through higher compensation.

Q94: Dual agency in real estate (representing both buyer and seller) is:

- A. Always prohibited by federal law
- B. Always required in mortgage transactions
- ✓ **C. A potential conflict of interest that is regulated by state law and requires disclosure**
- D. Encouraged to reduce transaction costs

Explanation: Dual agency involves a real estate agent representing both the buyer and seller. While not prohibited by federal law, it is regulated by state law and presents conflicts of interest. It must be disclosed and typically requires consent from both parties.

Q95: Which of the following best describes 'redlining'?

- A. Highlighting profitable lending areas
- ✓ **B. Refusing to provide mortgage lending services in minority or integrated neighborhoods**
- C. Drawing district lines for property tax assessment
- D. The process of reviewing a loan application

Explanation: Redlining is the illegal practice of refusing to provide mortgage loans, insurance, or other financial services to neighborhoods based on their racial or ethnic composition. It violates the Fair Housing Act and ECOA.

Q96: An MLO who tells a borrower 'this is the last property available at this price, you need to sign today' is engaging in:

- A. Effective sales technique
- ✓ **B. High-pressure sales tactics that may constitute an abusive or deceptive practice under UDAP**
- C. Standard competitive market advice
- D. Required urgency disclosure

Explanation: Creating artificial urgency to pressure consumers into quick decisions may constitute unfair, deceptive, or abusive practices under UDAP. Ethical MLOs ensure borrowers have adequate time to review loan terms and make informed decisions.

Q97: If an MLO discovers that a borrower has submitted fraudulent documents, the MLO should:

- A. Proceed with the loan if the borrower otherwise qualifies
- B. Delete the documents and not report anything
- ✓ **C. Refuse to proceed and report the fraud as required by policy and law**
- D. Advise the borrower to resubmit corrected documents

Explanation: Mortgage fraud must be reported. MLOs are required to refuse to participate in fraudulent transactions and must report suspected fraud to their employer and/or appropriate authorities. Proceeding with a fraudulent application exposes the MLO to criminal liability.

Q98: Under the SAFE Act, the NMLS Unique Identifier must appear on:

- A. All social media posts by the MLO
- ✓ **B. All residential mortgage loan applications and any solicitations for residential mortgage loans**
- C. Business cards only
- D. Annual license renewal forms only

Explanation: The SAFE Act requires that an MLO's NMLS Unique Identifier appear on all residential mortgage loan applications and any written solicitations for residential mortgage loans.

Q99: Which of the following best describes 'temporary authority' under the SAFE Act?

- A. Emergency authority to originate commercial loans
- ✓ **B. Allows registered MLOs (from depository institutions) and licensed MLOs moving to a new state to continue originating while their application is pending**
- C. Authority to originate loans without any license for 90 days
- D. Authority granted by a lender when an MLO's license is under review

Explanation: Temporary authority allows: (1) federally registered MLOs moving to non-bank employment, and (2) state-licensed MLOs applying in a new state, to continue originating during the application review period, subject to certain conditions.

Q100: An MLO who moves from one state-licensed company to another must:

- A. Retest and take 20 new hours of pre-licensure education
- ✓ **B. Submit a sponsorship transfer request through NMLS and receive approval from the new state(s)**
- C. Wait 6 months before originating at the new company
- D. Apply for a new NMLS Unique Identifier

Explanation: When an MLO changes employers, they must transfer their sponsorship through NMLS. Their NMLS Unique Identifier remains the same throughout their career. No new test or education is required for a simple employer change within the same state.

Q101: NMLS annual renewal deadlines for state-licensed MLOs typically fall on:

- A. July 1 of each year
- B. The anniversary of the MLO's initial licensure
- ✓ C. December 31 of each year, with renewals due by that date
- D. September 30 of each year

Explanation: NMLS licenses for state-licensed MLOs typically expire on December 31 and must be renewed annually. MLOs must complete annual continuing education (8 hours minimum) and submit renewal through NMLS before the deadline.

Q102: Under the SAFE Act, which of the following disqualifies a person from obtaining an MLO license?

- A. A DUI conviction from 10 years ago
- ✓ B. A felony conviction involving fraud, dishonesty, breach of trust, or money laundering within the last 7 years
- C. A bankruptcy filed 5 years ago
- D. A credit score below 680

Explanation: The SAFE Act provides that a license cannot be issued to a person convicted of a felony involving fraud, dishonesty, breach of trust, or money laundering within the past 7 years. A lifetime bar applies to any felony involving these offenses.

Q103: The minimum annual continuing education requirement for state-licensed MLOs under the SAFE Act is:

- A. 4 hours
- B. 6 hours
- ✓ C. 8 hours
- D. 12 hours

Explanation: The SAFE Act requires state-licensed MLOs to complete at least 8 hours of continuing education (CE) annually, including 3 hours of federal law, 2 hours of ethics, 2 hours of non-traditional mortgage products, and 1 hour of electives.

Q104: If a state-licensed MLO's license expires and they continue to originate loans for 30 days without renewal, this could result in:

- A. Only a warning from the state regulator
- ✓ B. Administrative, civil, or criminal penalties
- C. Automatic renewal if CE was completed
- D. A 90-day grace period automatically granted

Explanation: Originating loans with an expired license constitutes unlicensed activity, which can result in administrative penalties (fines, license denial), civil liability, and potentially criminal charges. There is no automatic grace period.

Q105: Which of the following is a requirement for maintaining an MLO license in most states under SAFE Act standards?

- A. Owning a physical office in the state
- ✓ B. Having a surety bond and maintaining records for a specified period
- C. Originating a minimum number of loans per year
- D. Having a college degree in finance

Explanation: Most state MLO licensing requirements include maintaining a surety bond (or equivalent net worth), maintaining loan records (typically 3-5 years), and completing annual CE. Physical office requirements vary by state but are generally not required for individual MLOs.

Section 5: Uniform State Content (SAFE Act & Licensing)

Q106: Under the SAFE Act, which of the following would permanently bar someone from obtaining an MLO license?

- ✓ A. A felony conviction for mortgage fraud at any time in the past
- B. A misdemeanor DUI conviction
- C. A Chapter 7 bankruptcy discharged more than 10 years ago
- D. An outstanding civil judgment from a car accident

Explanation: Any felony involving fraud, dishonesty, breach of trust, or money laundering — at ANY time in the past — is a lifetime bar to obtaining an MLO license under the SAFE Act. There is no time limit for this category of offense.

Q107: The NMLS requires MLOs to disclose which of the following on their MU4 (individual) form?

- A. All residential addresses for the past 5 years
- ✓ B. All criminal convictions, pending charges, and regulatory actions
- C. Personal net worth and investment portfolio
- D. References from at least 3 colleagues

Explanation: The MU4 form requires full disclosure of criminal history (convictions and pending charges), regulatory actions/sanctions, civil judicial actions related to financial services, and financial disclosures (bankruptcy, judgments). Failure to disclose is itself a violation.

Q108: State regulators may examine a licensed mortgage company's records and loan files:

- A. Only with 30 days advance notice
- B. Only when a consumer complaint has been filed
- ✓ C. Periodically, with or without advance notice, and for examination periods determined by the state
- D. Only once every 5 years

Explanation: State mortgage regulators have broad examination authority to review company records, loan files, policies, and procedures to ensure compliance with state and federal law. These examinations can occur with or without prior notice and at the regulator's discretion.

Q109: Under the SAFE Act, a state-licensed MLO must notify their state regulator within how many days of changing their employer?

- A. 5 business days
- B. 10 business days
- ✓ C. 30 calendar days
- D. 60 calendar days

Explanation: Most state regulations require MLOs to update their NMLS record (sponsorship) and notify the state regulator within 30 calendar days of a change in employment. Requirements vary by state.

Q110: Which of the following is the primary purpose of the SAFE Act's pre-licensure education requirement?

- A. To ensure MLOs can underwrite their own loans
- ✓ B. To establish a baseline knowledge of mortgage law, ethics, and lending practices before MLOs interact with consumers
- C. To provide real estate agent continuing education credit
- D. To test marketing and sales skills

Explanation: Pre-licensure education (20 hours) establishes a minimum knowledge standard before MLOs work with consumers. This protects consumers by ensuring all licensed MLOs understand federal/state law, ethics, and mortgage products.

Q111: Which entity administers the NMLS on behalf of the participating state regulators?

- A. The CFPB
- B. HUD
- ✓ C. The Conference of State Bank Supervisors (CSBS) and the American Association of Residential Mortgage Regulators (AARMR)
- D. The Federal Reserve

Explanation: NMLS is administered by the Conference of State Bank Supervisors (CSBS) and the American Association of Residential Mortgage Regulators (AARMR) — two state regulatory associations — on behalf of participating state licensing agencies.

Q112: A state regulator finding that an MLO has engaged in a pattern of violating TRID disclosure requirements could take which of the following actions?

- A. The regulator can only report findings to HUD
- ✓ B. The regulator may impose fines, require restitution, suspend or revoke the MLO's license
- C. The regulator may only issue a formal warning for first-time violations
- D. Only the CFPB can take action against state-licensed MLOs for federal violations

Explanation: State regulators have broad authority to impose sanctions on licensed MLOs, including monetary fines, restitution orders, license suspension, and revocation. This authority exists independently of federal enforcement by the CFPB.

Q113: Under RESPA, when a loan is sold or transferred to a new servicer, the new servicer must provide the borrower a transfer notice within:

- A. 5 business days after the effective transfer date
- ✓ B. 15 business days after the effective transfer date
- C. 30 calendar days after the effective transfer date
- D. 60 calendar days after the effective transfer date

Explanation: The new servicer must provide a transfer notice within 15 business days after the effective date of the transfer. This is required in addition to the current servicer's notice at least 15 business days BEFORE the transfer.

Q114: In the context of the SAFE Act, the term 'residential mortgage loan' covers loans secured by:

- A. Only single-family homes
- B. Only owner-occupied properties
- ✓ C. A dwelling, including 1-4 unit residential properties used as residences
- D. Only properties with a loan amount under \$1 million

Explanation: Under the SAFE Act, 'residential mortgage loan' means a loan secured by a residential property — defined as a dwelling (including condos, co-ops, mobile homes, and 1-4 unit properties). MLOs who originate such loans must be licensed or registered.

Q115: Which of the following best describes a 'reverse mortgage'?

- ✓ A. A loan that requires no monthly payments and is repaid when the borrower sells, moves out, or dies
- B. A loan that pays the borrower monthly
- C. A mortgage where the payments decrease over time
- D. A loan that is only available to borrowers under 62

Explanation: A reverse mortgage (most commonly an FHA HECM — Home Equity Conversion Mortgage) allows seniors (62+) to borrow against their home equity with no required monthly payments. The loan is repaid when the last borrower sells, moves out permanently, or passes away.

Q116: TILA's Regulation Z establishes rules for credit advertising. Which of the following is TRUE about mortgage advertising?

- A. APR need not be disclosed in all advertisements
- ✓ B. If the monthly payment is stated, all relevant credit terms must be disclosed
- C. Only print advertisements are regulated
- D. Interest rate advertisements require no other disclosures

Explanation: Regulation Z requires that if an advertisement states a specific payment amount (a 'trigger term'), all material credit terms must also be disclosed. This applies to all advertising media — print, digital, TV, radio, and direct mail.

Q117: A 'purchase money transaction' under TILA's right of rescission rules means:

- A. Any loan used for a purchase
- ✓ B. Specifically a loan from the seller to the buyer as part of a seller-financed transaction, AND is exempt from rescission
- C. A loan that finances the purchase of real estate and is NOT exempt from rescission
- D. A loan secured by commercial property

Explanation: Under TILA, purchase money mortgages are NOT subject to the right of rescission. A purchase money mortgage is one given to secure a loan for the acquisition of the property being pledged as collateral.

Q118: The Flood Disaster Protection Act requires lenders to:

- A. Inspect all properties for flood damage before closing
- B. Purchase flood insurance on behalf of all borrowers in flood zones
- ✓ C. Require flood insurance on federally regulated loans for properties in Special Flood Hazard Areas
- D. Disclose flood zone status only for properties in coastal areas

Explanation: The Flood Disaster Protection Act (1973, amended 1994) requires federally regulated lenders to ensure that flood insurance is purchased and maintained for properties in Special Flood Hazard Areas (SFHAs) as a condition of making the loan.

Q119: Under Dodd-Frank's mortgage rules, a 'high-cost mortgage' (HOEPA) is triggered when:

- A. The APR exceeds the APOR by 1.5 percentage points for a first lien
- B. The APR exceeds the APOR by more than 6.5% for a first lien
- ✓ C. Points and fees exceed 5% of the loan amount for loans over \$20,000
- D. The loan has a balloon payment

Explanation: HOEPA triggers include: (1) APR exceeding APOR by 6.5%+ for first liens (or 8.5%+ for personal property/smaller loans), OR (2) points and fees exceeding 5% of total loan amount for loans over \$20,000. A loan meeting ANY trigger is a HOEPA high-cost mortgage.

Q120: The 'National Do Not Call Registry' and telemarketing rules are relevant to MLO marketing because:

- A. MLOs must register all borrower phone numbers with the registry
- ✓ B. MLOs who make unsolicited telemarketing calls to consumers on the DNC registry may face FTC penalties
- C. MLOs are completely exempt from DNC rules
- D. Only non-bank lenders must comply with DNC rules

Explanation: MLOs making unsolicited telemarketing calls must check the National Do Not Call Registry before calling. Calling consumers on the DNC list without an established business relationship or written consent can result in FTC fines and violations.
